

TABLE III
TOTAL CAPITAL INVESTMENT

Description	Cost (₹)
Fixed capital	507,500
Working capital for three months	1,209,000
Total capital investment (Tables I + II)	1,716,500

TABLE IV
COST OF PRODUCTION (PER ANNUM)

Description	Cost (₹)
Total recurring expenditure	4,836,000
Depreciation on machinery and equipment @ 10%	32,500
Depreciation on office furniture @ 20%	10,000
Depreciation on tools, jigs and furniture @ 25%	12,500
Interest on capital investment @ 12%	205,980
Total	5,096,980

TABLE V
TURNOVER PER ANNUM

Description	Qty (No. of units)	Rate per unit	Total revenue
RC electronic toy car	2400	₹ 2500	₹ 6,000,000

foams for packaging. Many alternative solvents could replace CFC-113 and methyl chloroform in electronics cleaning. Other chlorinated solvents such as trichloroethylene, perchloroethylene and methylene chloride have been used as effective cleaners in electronics industry for many years. Organic solvents like ketones and alcohols are effective in removing solder fluxes and other polar contaminants.

With growing demand for energy needs, coupled with rising energy costs, the government of India now encourages energy-efficient means of production and manufacturing in the industrial sector. The following steps may contribute to the conservation of energy:

1. Adoption of energy-conserving technologies, production aids and testing facilities
2. Efficient management of process/manufacturing machineries and systems, QC and testing equipment for yielding maximum energy conservation
3. Optimum use of electrical energy for heating during the soldering

process obtained by using efficient temperature-controlled soldering and de-soldering

4. Periodical maintenance of motors, compressors and the like

5. Use of power factor correction capacitors; proper selection and layout of lighting system; timely switching on and switching off of the lights; use of compact fluorescent lamps wherever possible and so on

Business economics

An indicative analysis has been done considering the data available at Ministry of Small and Medium Enterprises (MSME), government of India, website.

Some of the costs may vary depending on qualities/capacity, production plan, cost applicable at point of operation and location characteristics, wherever applicable. However, calculation basics will remain the same.

Assumptions and basis of calculation.

1. Production capacity: 2400 units/ annum.
2. Shifting: Maximum capacity utilisation on single shift basis for 300 days a year. Capacity utilisation of the unit is taken as 100 per cent for financial analysis.
3. Salaries and wages, cost of raw materials, utilities, civil construction and other cost factors are likely to vary with time and location.
4. Cost of machinery and equipment refer to a particular make/model and prices are approximate.
5. Costs involved in business unit registration, project preparation, legal compliance cost, etc, whenever required could be considered under pre-operative expenses.
6. Breakeven point percentage indicated is of full-capacity utilisation.
7. Interest on term and working capital loans must be preferably on current rate. In this report it is taken as 12 per cent. Otherwise, the rate of interest on an average may be taken at 16 per cent. The rate may vary

Disclaimer

The project profile may be modified/tailored to suit individual entrepreneurship qualities/capacity, production plan, cost applicable at the point operation and location characteristics, wherever applicable.

depending upon the policy of the financial institutions/agencies from time to time.

8. Essential production machinery and test equipment required for the project have been indicated. The unit may also utilise common test facilities available at electronics test and development centres and electronic regional test laboratories set up by the state governments and STQC Directorate of Department of Information Technology, Ministry of Communication and Information Technology, to manufacture products conforming to Bureau of Indian Standards (BIS), or from any other shared resource centre. The financial part will change accordingly.

Financials.

The cost for land and building and plant, machinery and equipment cost, that is, fixed capital is shown in Table I, and working capital (required for three months) in Table II.

Total capital investment is given in Table III, and the cost of production per annum in Table IV. Turnover per annum is shown in Table V.

$$\text{Profit per annum (before tax)} = \text{Turnover per annum} - \text{Cost of production per annum} \\ = 6,000,000 - 5,096,980 = 903,020$$

$$\text{Profit ratio (sales per annum)} = \frac{\text{Profit per annum} \times 100}{6,000,000} \\ = 90,302,000 = 15.05\%$$

$$\text{Rate of return} = \frac{\text{Profit per annum} \times 100}{\text{Total capital investment}} \\ = \frac{903,020 \times 100}{1,716,500} \\ = 52.6\%$$

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References

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2. www.nir.org
3. nextwhatbusiness.com
4. www.world-of-toys.org
5. www.naukri.com